

BIRKENSTOCK HOLDING PLC BIRK June 30, 2026 - 2:14am EST
by

jizzle

			2026	2027
Price:	43.41	EPS	2.60	3.16
Shares Out. (in M):	184	P/E	17	14
Market Cap (in \$M):	8,170	P/FCF	19	15
Net Debt (in \$M):	1,350	EBIT	757	877
TEV (in \$M):	9,500	TEV/EBIT	13	11
Borrow Cost:	Available 0-15% cost			

Description

Key Arguments:

BIRK is a German footwear manufacturer known for its sandals and iconic cork footbeds that has grown sales at an impressive 18.6% CAGR from 2016-2025. This growth has been supported by the resurgence in popularity of the Boston clog (CY22-25) and the Arizona sandal (CY16-19). Amid slowing DTC growth, BIRK has leaned into B2B and increased retail expansion. After a mixed 2Q26 print (stock down ~13%), management announced a \$250M Accelerated Share Repurchase, buying 6m shares at \$33.21 (out of ~180M shares outstanding). The stock has surged ~39% on the buybacks and positive Iran-related news, and fwd. P/E (2027 EPS) moved from ~10x post-2Q26 print to ~14x, putting the company optically between DECK (12x) and RL (20x). Bulls are excited by management's conviction and the potential for reacceleration across geographies as weather normalizes. Additionally, bulls believe BIRK's strong brand equity will support price increases, offsetting pressures from the Middle East and tariffs. However, I believe that BIRK will struggle to meet high expectations due to **1) the rapid rise in demand for premium flip-flops in the U.S.:** premium flip-flops have seen a meteoric rise in popularity and directly compete with BIRK's core open-toe models with a similar use case, target customer, and ASPs. Open-toe BIRK models made up 62% of annual revenue. **2) saturation in the American market:** the average US customer owns 3.6 pairs, and BIRK has struggled to find another significant hero product after the rise of the Boston clog in 2022 and the Arizona sandal in the late 2010s. Compared to peers (DECK/RL), I believe BIRK sales are significantly concentrated within 2 hero products and therefore are more exposed to the fashion cycle (which it has benefited from in the past). Finding success in its underpenetrated categories like closed-toe shoes will be extremely difficult due to the competitiveness of the category. **3) growing through higher wholesale doors:** BIRK has historically aimed to grow their wholesale doors at a LSD cadence (allowing for >90% of their B2B growth to come from existing doors), however recent data points suggest that management has leaned more into wholesale door growth to make up for slowing DTC growth.

Framing the Potential:

Although consensus believes BIRK will continue to grow total revenue in mid-teens and reaccelerate DTC growth through FY28 through a "diverse" offering and strong customer loyalty, my work suggests that the company will struggle to meet these expectations. My bear and base cases have America's CC revenue slowing to low-teens/HSD due to limited growth opportunities in wholesale and weaker DTC demand. Applying fwd. P/E (2027 EPS) of 10x and 14x suggests downsides of 25-40% (vs. 15% upside in my bull case, assuming fwd. P/E of 18x and continued mid-teens growth).

What You Need to Know:

As growth of the VSCO girl trend (and thus demand for the Arizona model which was associated with the trend) eased post 2016/17, growth for BIRK revenues on a 2Y stack slowed from 50.3% (FY17) to 25.9% (FY19). However, following the COVID "boom", BIRK never had the subsequent "bust" as the Boston model came into trend in FY22/23, accelerating sales growth on a 3Y stack from 44.4% (FY21) to 81.4% (FY23) and 70.2% (FY24). The Boston model is sold at a higher retail price (~\$170 for Boston vs. ~\$155 for Arizona), which drove ASP growth +21% (FY22) and +14% (FY23). BIRK has been able to grow ASPs by ~40% over the past 4 years (8.7% CAGR), through a combination of both favorable mix shift towards clogs and higher full-price selling. This optically consistent growth (18.6% CAGR, 2016-2025) from 2 exceptional hero products has led investors to believe that this growth is sustainable for the foreseeable future.

Thesis 1: Premium Flip-Flops Are Directly "Eating BIRK's Lunch"

Flip-flops have come back into style, and premium flip-flops are leading the way with Rainbow, Olukai, and Reef. The average retail price for premium leather flip-flops ranges from \$60 - \$110, just under BIRK retail prices from ~\$110 - \$180. In FY25, closed-toe silhouettes were ~38% of revenue and sandals were ~62% of revenue. I see meaningful risk to BIRK's sandal franchise from the growing popularity of flip-flops, which may benefit from consumer trade-down behavior and a lighter, more convenient wearing experience. I found no mention of flip-flops in sell side research on BIRK. I see evidence of continued weakening of DTC through BIRK's promotional activity and social media activity.

- **BIRK Is Negatively Correlated with Flip Flops:** Running a regression analysis on Google Trends data in the U.S. for "flip-flops" and "Birkenstock," I found a R^2 of 0.35 (R of -0.59)
- **BIRK Has Increased Discounting in DTC Channel:** Using the Wayback Machine, I found that the # of BIRK products on sale has expanded significantly YoY from ~300 products in Jun-25 to ~712 products in Jun-26, representing a 137% increase in discounting
 - BIRK has also increased the # of products in its catalog from 1770 products in Aug-24, 2159 products in Jun-25, to 2305 products in Jun-26 (7% increase vs. CY25 and a 30% increase vs. CY24)
 - Using CamelCamelCamel, I found that over the last year, flip-flops have increased their ASPs significantly on Amazon (30-50%), demonstrating improving demand while BIRK models remain flat or slightly down
- **BIRK Is Falling Out of Trend:** BIRK was likely overearning as the Boston grew to be major portion of revenue. As BIRK laps the popularity of the Boston model, it creates tough comps and a risk to the downside on their ASPs through heavier discounting and unfavorable mix shifts (as consumers shift away from clogs which are BIRK's highest ASP product).
 - Through Google Trends, I found that search interest for the BIRK Boston model has slowed on a 2Y stack from +133% in 2Q24 to (31%) in 2Q26 and interest for BIRK has slowed on a 2Y stack from +46% in 2Q24 to +16% in 2Q26, while interest for flip-flops have been >+100% (see Appendix)
 - BIRK Arizona and Boston models were staples of the Lyst Index in 2022/2023 before completely falling out of the indexes from 2024-Present
 - Moreover, I believe the increased shelf space allocated to BIRK at wholesalers during FY23/24 now is at risk of being removed in favor of flip-flops based on my observations at several wholesale stores
 - On wholesaler Nordstrom 47/144 BIRK models were on sale in Jun-26 vs. 29/120 BIRK models on sale in Jan-26

Thesis 2: Saturation in Americas Market

BIRK believes there is "substantial room for more growth" in the Americas, however I believe that BIRK is approaching saturation in the

region.

- **Overreliance on Core Models:** With the average customer owning 3.6 pairs, and only 2 hero products, it is likely that customers own multiple pairs of Arizona/Boston models
 - Management stated that >76% of FY22 revenue came from the following 5 styles: Arizona, Boston, Madrid, Gizah, and Mayari
 - A deeper dive into this suggests that the Arizona and Boston models drive most of BIRK sales. Using Google Trends (past 5 years), I found the average search interest (on a scale to 100) for each model worldwide
 - Boston: 24, Arizona: 23, Madrid: 5, Gizah: 4, Mayari: 2
 - Assuming Google Trends is a decent indicator of consumer demand, BOTE math suggests that these models drive 50-60% of revenues
- **Comparison vs. UGG:** On the 1Q26 earnings call, management noted that Birkenstock sells ~50,000 pairs per million people in the U.S., implying roughly 17 million pairs sold annually and “only” about 5% penetration of the U.S. population. However, I push back on this with some BOTE math.
 - I believe UGG represents a useful benchmark for BIRK. While UGG is primarily a winter footwear brand and Birkenstock is more summer-oriented, both occupy a similar premium lifestyle positioning with comparable ASPs, brand equity, and customer loyalty
 - In FY26, UGG generated \$2.739bn of revenue. Assuming approximately 70% of sales are generated in the U.S. (above DECK consolidated U.S. mix of 58% given UGG's greater domestic concentration) and a blended net ASP of roughly \$100 per pair, UGG likely sold approximately 19 million pairs in the U.S in FY26.
 - This suggests limited future runway, especially as consensus forecasts
 - For reference: UGG Sales: FY24 +16.1%, FY25 +13.1%; BIRK Sales: FY24 +21.0%, FY25 +16.2%
 - UGG BOTE Valuation Math: Estimating the HOKA business at 12x EV/EBITDA (a 3-turn discount vs. ONON which trades at ~15x EV/EBITDA) implies UGG trades at ~7x EV/EBITDA vs. BIRK at ~10x EV/EBITDA suggesting a potential ~30% downside from current levels

Thesis 3: Artificial Wholesale Growth Inflated Consolidated Sales Growth

Management has repeatedly stated that BIRK aims to grow wholesale doors at an LSD cadence with over 90% of B2B revenue growth coming from existing doors. In 3Q24, management reported 12,400 doors and in 1Q26 management reported approximately 19,000 doors across Americas and EMEA (ex-APAC).

- **Wholesale Doors Expanding Rapidly:** This implies that BIRK has added at least 6,600 doors (53% growth, 39% CAGR) in under 2 years, which explains why wholesale growth accelerated from 14.9% in FY23 to 22.0% in FY24
 - **Cracks Showing:** From 4Q24 to 1Q26, wholesale has grown CC 2Y stack on average ~47% YoY, however 2Q26 saw a significant deceleration to 33%
 - **Pipeline Fill:** BIRK will lap tough compares in FY26/27 as it laps pipeline fill for ~7,000 new doors

Additional Notes:

- BIRK EMEA President Mehdi Nico Bouyakhf sold 90,000 shares (~75% of total stake) in Jun-26 after announcement of the buybacks
- Google Trends data clearly had some issues (incorrectly elevated search interest across consumer brands) in March/April, so that data was not used when calculating YoY %s

Why Does This Opportunity Exist

- Flip-flops are a “black box” with no public companies
- BIRK reports very little sales data (no comps)

Risks to Thesis:

- Emergence of another hero product from an new/existing BIRK model
- Improving macroeconomic environment
- Short float is ~15-20%

I do not hold a position with the issuer such as employment, directorship, or consultancy.

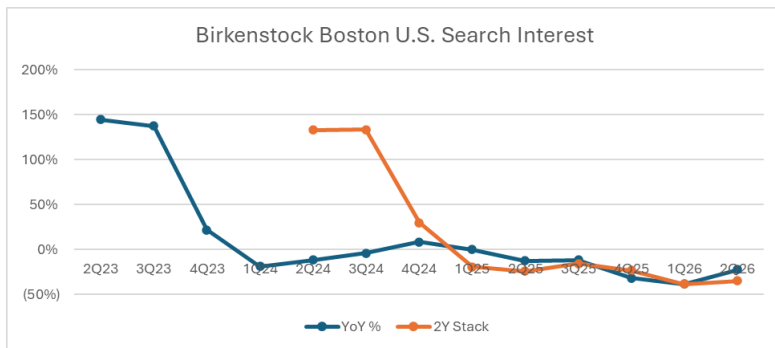
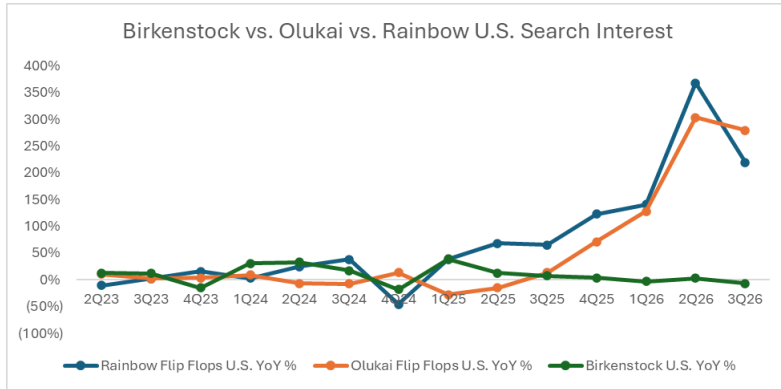
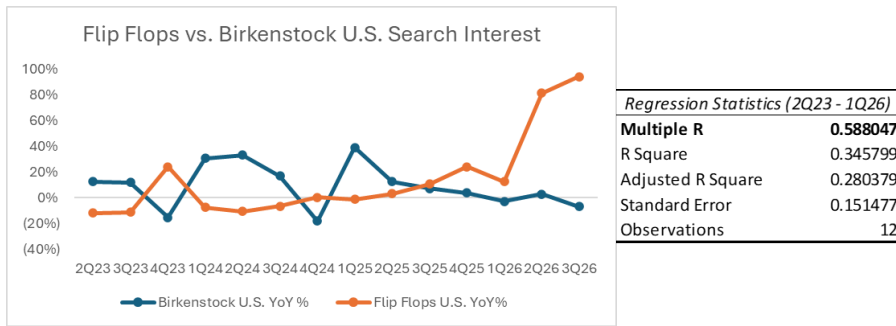
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Catalyst

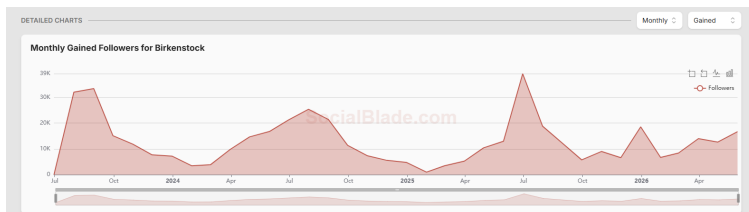
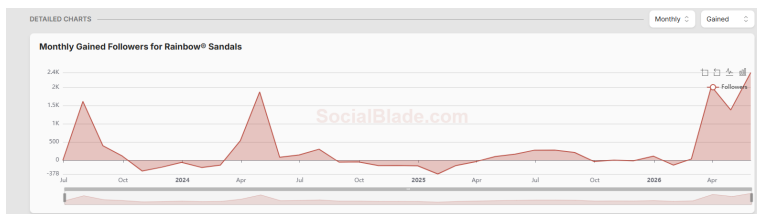
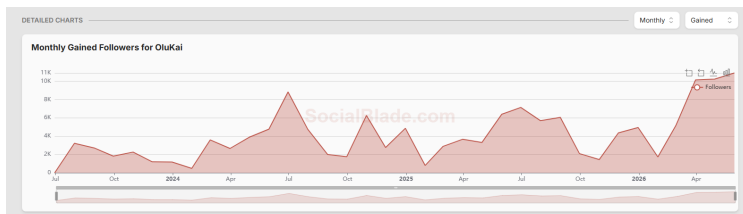
Catalysts:

- Worse than expected 3Q26/4Q26 Earnings (miss on DTC/wholesale, margin)
 - Margins worsen as BIRK is forced into higher promotions
 - DTC growth in Americas slows as flip-flops take share of slip-on market
 - Slows on a 2Y/3Y stack as it laps the growth of the Boston model
 - Wholesale growth slows as wholesale growth will lap tough compares due to pipeline fill
- Continued insider selling

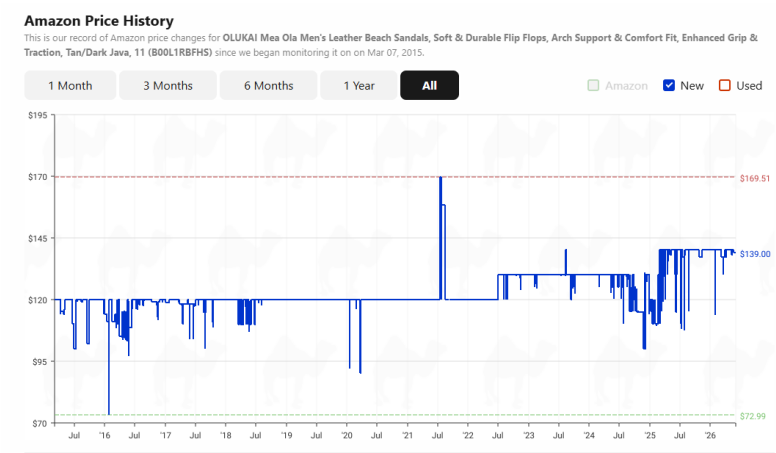
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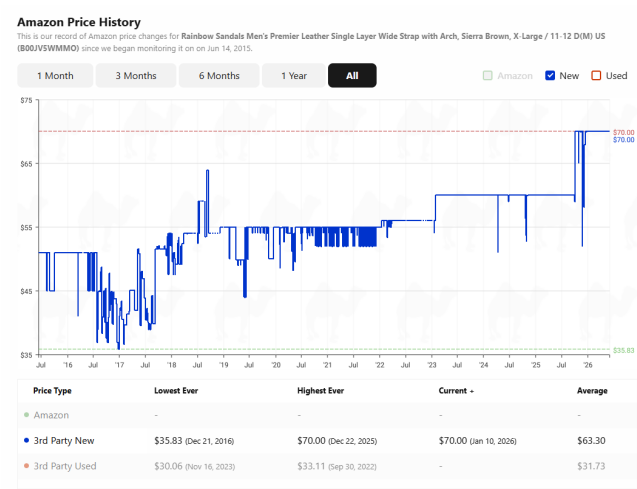
Social Blade



CamelCamelCamel
Olukai



Rainbow

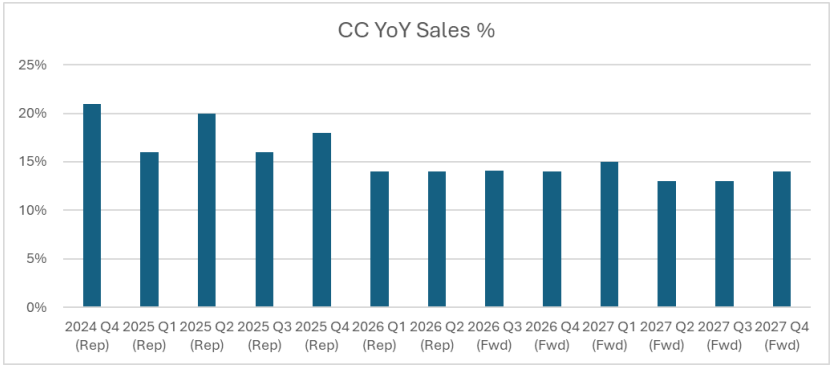


camelcamelcamels monitors individual product prices across three Price Types: Amazon, Third Party New, and Third Party Used. "Amazon" means the price of an item sold by and shipped by Amazon itself; the two Third Party prices refer to third party prices on Amazon in New or Used condition, usually by marketplace sellers.

Birkenstock



Projected Sales



Messages

Subject comments
Entry 06/30/2026 08:06 AM
Member seb1991

Thanks for the write up and idea. However, my only concern with the thesis is that it relies on a multiple de-rating rather focusing on underlying fundamentals. It would be more interesting to model topline per sku/shoe/product and comparing those assumptions with consensus estimates. That would help identify how much of the growth depends on specific products (e.g. Shoe A vs. Shoe B). It would also be useful to model the B2B and product mix impact on margins. Google trends are all good and nice info but channel checks with distributors are more important.

Birkenstock is today trading at 11x EBITDA / 17x P/E. In other words, market is not really pricing any sort of hyper growth or perfection.

I do agree with you that Birkenstock saturation is high and people probably dont want to own 4 pairs of it.

Subject deeply confused
Entry 06/30/2026 08:56 AM
Member ShowMeThe\$\$

"the company will struggle to meet these expectations. My bear and base cases have America's CC revenue slowing to low-teens/HSD due to limited growth opportunities in wholesale and weaker DTC demand. Applying fwd. P/E (2027 EPS) of 10x and 14x suggests downsides of 25%..."

Stepping back, what might this sentence mean for if you actually have a short opportunity.

You say the business is going to grow low double digits sales (+ we get buybacks presumably) and you throw 10x on that... sounds like you should be long.